Psychographic models classify individuals according to certain characteristics, tendencies, or behaviors. By segmenting individuals by personality type and gender and correlating these variables with specific investor biases, we can lay the groundwork for applying many of the biases that behavioral finance literature explores (e.g., Khaneman and Tversky).[1]

If certain groups of investors prove susceptible to certain biases, then practitioners can recognize behavioral tendencies before investment decisions are made and, likely, produce better investment outcomes. Psychographic classifications are particularly relevant with regard to individual investment strategy and risk tolerance. An investor's background, past experiences, and attitudes can play a significant role in decisions made during the asset allocation process. It is important to note that because psychology is involved, no exact diagnosis can be made of any individual or situation. Although there are limitations to this type of analysis, if financial market participants can gain an understanding of their behavioral tendencies, the result is likely to be better investment outcomes.

Two studies—Barnewall,[2] and Bailard, Biehl, and Kaiser (BB&K)[3]—apply useful models of investor psychographics and will be reviewed in the next section. However, both studies predate significant findings in the behavioral finance literature, including important biases discovered in recent years. Further, the models Barnewall and BB&K applied leave out references to specific behavioral biases. The Barnewall model—one of the first and most used—distinguished investors by their passivity or activity in creating wealth. Although it usefully described certain individual investors, and can be used in the behavioral investor type diagnostic process, it has limitations. For example, investors aren't just differentiable according to how they've arrived at their wealth. They are, after all, human beings and possess unique, complicated, intellectual and emotional attribute arrays. Moreover, investors are gendered. It might seem regressive to suggest that gender identity preordains financial decision making, and we certainly don't go that far. However, our data does strongly insinuate that when it comes to investing, men and women reason differently. Barnewall didn't take any of these factors into account. The modern investment era demands a better model. The BB&K model featured some of the principles of the Barnewall model; but, by classifying investor personalities according to level of confidence and method of action, it introduced additional segmentation. Like the Barnewall model, the BB&K model is useful in working with certain clients and may explain in general terms why a person is predisposed to certain investor behaviors. However, the BB&K model neither scientifically described personality type nor links investor behaviors with recently identified investor biases, limiting its utility. As noted,